Interest Rate Policy

Arvesta Financial Services Private Limited

Document Management

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Approved by	Board of Directors of the Company ("**Board**")
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1. Introduction

1.1 Background

Arvesta Financial Services Private Limited and its subsidiaries, if any, ("the Company" or "Arvesta") is committed to conducting business with integrity, transparency and accountability in accordance with all the applicable laws and regulatory requirements.

The 'Interest Rate' Policy, duly approved by the Board of Directors has been formulated by the Company in accordance with the RBI (NBFC – Responsible Business Conduct) Directions, 2025 and it broadly outlines the Interest Rate Model and its approach of risk gradation.

1.2 Objectives

The Company shall ensure that:

- Interest rates are consistent with the borrower's risk characteristics and loan attributes.
- Cost of funds, operating expenses, and required returns are appropriately factored into pricing.
- Rates are applied fairly and consistently across customers, avoiding arbitrary or excessive charges.
- All interest rates and charges are fully disclosed to customers to promote transparency and responsible lending.

1.3 Governance

The Board of Directors shall have overall oversight of this Policy. It has established appropriate internal principles and procedures in determining interest rates and processing and other charges.

Operational implementation, including approval of interest rates for specific products or customer segments, may be delegated to the committee authorised to sanction facilities. The guidelines indicated in the Fair Practices Code regarding transparency of loan terms and conditions shall be duly adhered to.

Any revision or reset of interest rates deviating from the original approval during the loan tenure shall be approved by the relevant sanctioning authority in accordance with the internal delegation and approval norms.

2. Interest Rate Framework

The interest rate charged to customers shall comprise a benchmark rate plus or minus a risk-based spread. The Company may offer both fixed and floating rate loans.

Interest rates (including benchmark and spread) may be reset periodically as per the terms of the loan agreement. The Company may adopt either an internal benchmark rate or a market-linked external benchmark, depending on product type, market dynamics, and regulatory guidance.

2.1 Interest Rate Model

The Company shall determine benchmark rates and lending spreads based on objective,factors that ensure both risk sensitivity and financial sustainability.

The benchmark rate shall be derived by considering, but not limited to, the following key components:

1. **Cost of Funds:**
   Determined by combining the cost of borrowings and the required return on equity, reflecting prevailing market conditions and shareholder expectations.

2. **Operating Expenses:**
   Includes all direct and indirect costs incurred in the Company's lending operations — cost of raising funds or capital, facility commitment charges, manpower, infrastructure, technology, marketing, and other administrative expenses.

3. **Negative Carry, on Cash and Liquid Investments**
   Arises when the cost of funds exceeds the return on liquid assets or regulatory investments. The benchmark shall account for such negative carry to ensure overall yield adequacy.

4. **Asset Quality**
   Reflects the impact of asset provisioning requirements in line with regulatory norms and internal provisioning policies.

The Company shall arrive at a **Risk-Based Pricing Rate (RBPR)** after considering the above parameters and the credit profile of the borrower.

2.2 Determination of Spreads

The final lending rate for each product or borrower segment shall include a risk-based spread over the benchmark rate.

Spreads shall be determined based on quantitative and qualitative risk factors specific to the transaction, including but not limited to:

i. Loan tenure
ii. Whether facility is secured or unsecured
iii. Borrower's credit profile, including repayment history, and current indebtedness
iv. Collateral type, quality, and enforceability
v. Industry and sectoral risk characteristics
vi. Historical default and collection performance in comparable customer segments
vii. Interest rate type (fixed or floating) and associated volatility risk

Accordingly, interest rates for the same product and tenor may differ between customers, reflecting variations in credit risk, structure, or transaction-specific attributes.

2.3 Benchmark based lending rate

The Company may determine floating interest rates with reference to external market benchmarks such as the RBI policy repo rate or any other appropriate benchmark, as permitted by regulation.

The Company reserves the right to change the external benchmark, with approval from the competent authority, based on prevailing market conditions, regulatory guidance, and internal policy considerations.

3. Other Charges

The Company may levy non-interest charges such as but not limited to, processing fees, late payment charges, foreclosure or other service charges as permitted under the respective loan documentation. All such charges, along with applicable taxes and statutory levies, shall be disclosed upfront in the loan agreement and sanction letter.

4. Communication Framework

The Company shall ensure clear and transparent communication of all applicable interest rates and charges to customers through the following mechanisms:

i. The rate of interest shall be disclosed / communicated to the borrower or customer explicitly in the sanction letter, KFS, loan agreement, etc.
ii. The rate of interest so disclosed shall be annualised rate so that the borrower is aware of the exact rates that would be charged to the account.
iii. The prime lending rate of the company shall be published on the Company's website
iv. Any change in rates or charges applicable to existing customers shall be communicated through appropriate channels such as email or letter.
v. All changes in the interest rate and charges shall be applied prospectively and necessary provisions for rate resets shall be incorporated in the loan documentation.
vi. The approach for gradations of risk and rationale for charging different rate of interest to different categories of borrowers shall be disclosed / communicated to the borrower or customer explicitly in the application form / sanction letter.
vii. The approach for gradation of risks shall also be made available on the website of the Company. The information published on the website or otherwise published shall be updated whenever there is a change in the rates of interest.

5. Reset of Floating Interest Rate on EMI based Personal Loans

The Company shall put in place the following requirements for implementation and compliance:

i. At the time of sanction, the Company shall clearly communicate to the borrowers about the possible impact of change in benchmark interest rate on the loan leading to changes in EMI and/or tenor or both. Subsequently, any increase in the EMI/ tenor or both on account of the above shall be communicated to the borrower immediately through appropriate channels.

ii. At the time of reset of interest rates, the Company may, at its option, provide a choice to the borrowers to switch over to a fixed rate.
iii. The borrowers shall also be given the choice to opt for (i) enhancement in EMI or elongation of tenor or for a combination of both options; and, (ii) to prepay, either in part or in full, at any point during the tenor of the loan. Levy of foreclosure charges/ pre-payment penalty shall be subject to extant instructions.

Note: Whenever there is a reset of interest rates for an entire class of borrowers in a particular loan category, say home loan, due to increase in the reference benchmark; the Company shall provide the following options to the borrowers:

- Either enhancement in EMI or elongation of number of EMIs, keeping the EMI unchanged or a combination of both options;
- Switch to fixed interest rate for the remaining portion of the loan, where such an option is provided by the bank; and
- To prepay, either in part or in full, at any point during the residual tenor of the loan.

iv. All applicable charges for switching of loans from floating to fixed rate and any other service charges/ administrative costs incidental to the exercise of the above options shall be transparently disclosed in the sanction letter and also at the time of revision of such charges/ costs by the Company from time to time. The applicable charges shall be as approved by the Board and shall be displayed on the Company's website.

v. The Company shall ensure that the elongation of tenor in case of floating rate loan does not result in negative amortisation.

vi. The Company shall share / make accessible to the borrowers, through appropriate channels, a statement at the end of each quarter which shall at the minimum, enumerate the principal and interest recovered till date, EMI amount, number of EMIs left and annualized rate of interest / APR for the entire tenor of the loan. The Company shall ensure that the statements are simple and easily understood by the borrower.

vii. Apart from the equated monthly instalment loans, these instructions would also apply, mutatis mutandis, to all equated instalment-based loans of different periodicities, irrespective of whether they are linked to an external benchmark or an internal benchmark. In case of loans linked to an external benchmark, the Company shall put in place adequate information systems to monitor transmission of changes in the benchmark rate to the lending rate.

6. Policy Review

This Policy shall be reviewed at least annually to ensure its continued relevance, adequacy, and effectiveness in line with the Company's governance framework, regulatory expectations, and evolving business environment. All relevant extant & future master circular / directions / guidance notes issued from time to time would be the directing force and will supersede the contents of this policy.